

Marketing

Chapter 2: Branding

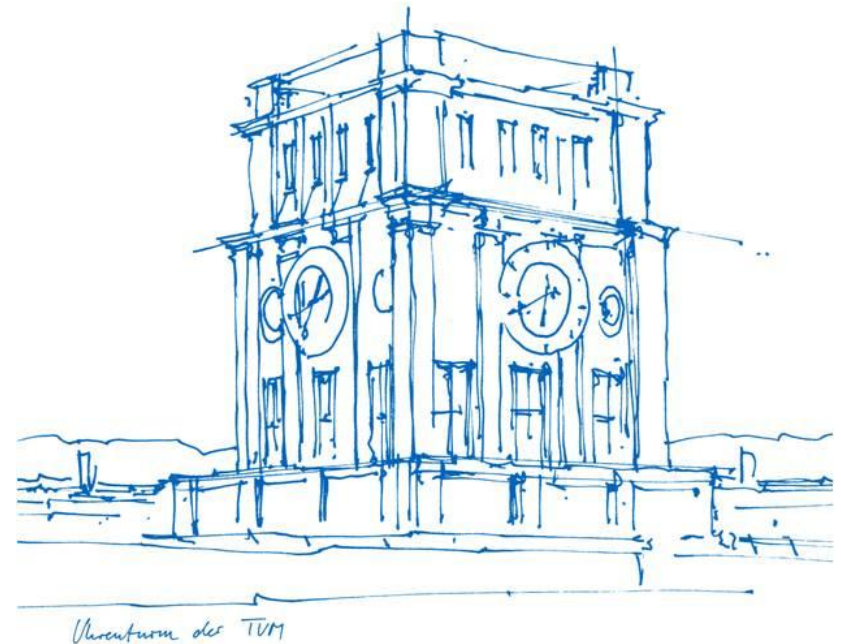
Prof. Dr. Martin Meißner

Technical University of Munich

TUM School of Management

Center for Digital Transformation

Professorship of Digital Marketing



Learning goals

After studying this chapter, you will be able to:

- Understand how brand differs from a product
- Understand why brands are important
- Describe the main branding challenges and opportunities
- Identify the steps in the strategic brand management process
- Define customer-based brand equity
- Outline the sources and outcomes of customer-based brand equity
- Identify the four components of brand positioning
- Describe the guidelines in developing a good brand positioning

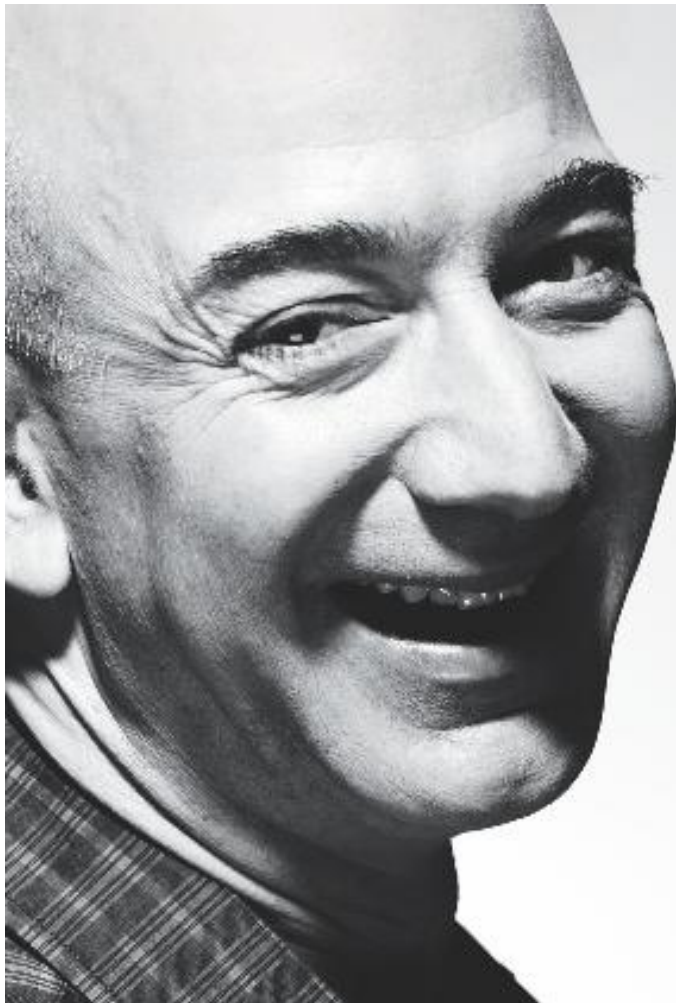
Why do brands matter?



Why do brands matter?



Why do brands matter?



“Branding is what people say about you when **you are not in the room.**”

- Jeff Bezos, founder and CEO of Amazon.com.

What is a brand?

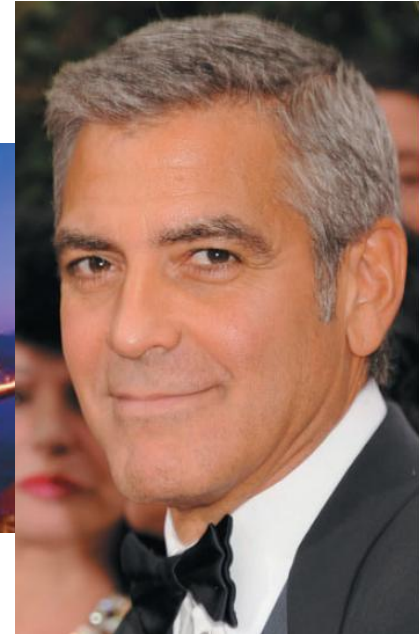
Brand = A name, term, sign, symbol, or design, or a combination of them.

- Intended to identify the goods and services of one seller or group of sellers.
- Differentiate goods and services from those of competitors.

Different components that identifies and differentiates a brand:

- Name, logo, symbol, package design, or other characteristics.

Can be based on people, places, things, and abstract images.



Why do brands matter?

€ 0,01



versus

€ 2.50



€ 19,90



versus

€ 60,00

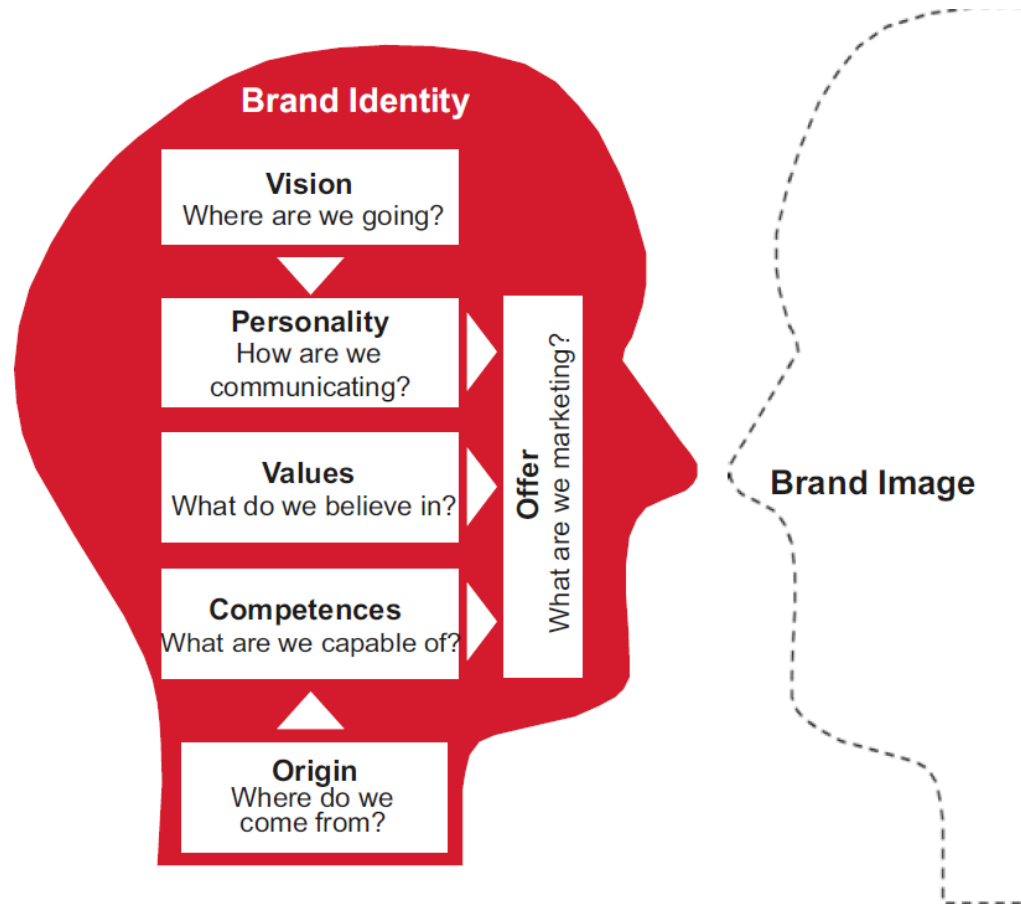


Brand versus product

Brand	Product
Has dimensions that differentiate it in some way from other products designed to satisfy the same need	Anything available in the market for use or consumption, that may satisfy a need or want
Can be differentiated on the basis of: • Packaging • Services provided • Customer advice • Financing • Delivery arrangements • Warehousing • Other things valued by the customers	Can be categorized into five levels namely: • Core benefit level • Generic product level • Expected product level • Augmented product level • Potential product level

A brand is therefore more than a product, because it can have dimensions that differentiate it in some way from other products designed to satisfy the same need.

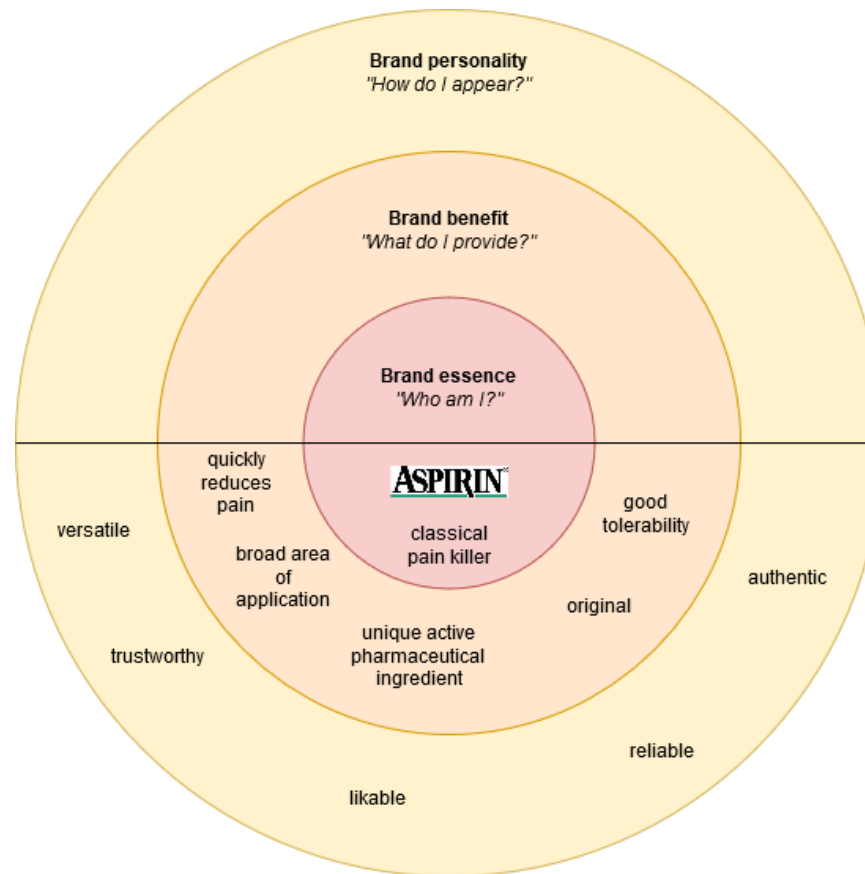
Brand identity and brand image



Brand identity as the self-image of the
brand's internal target groups

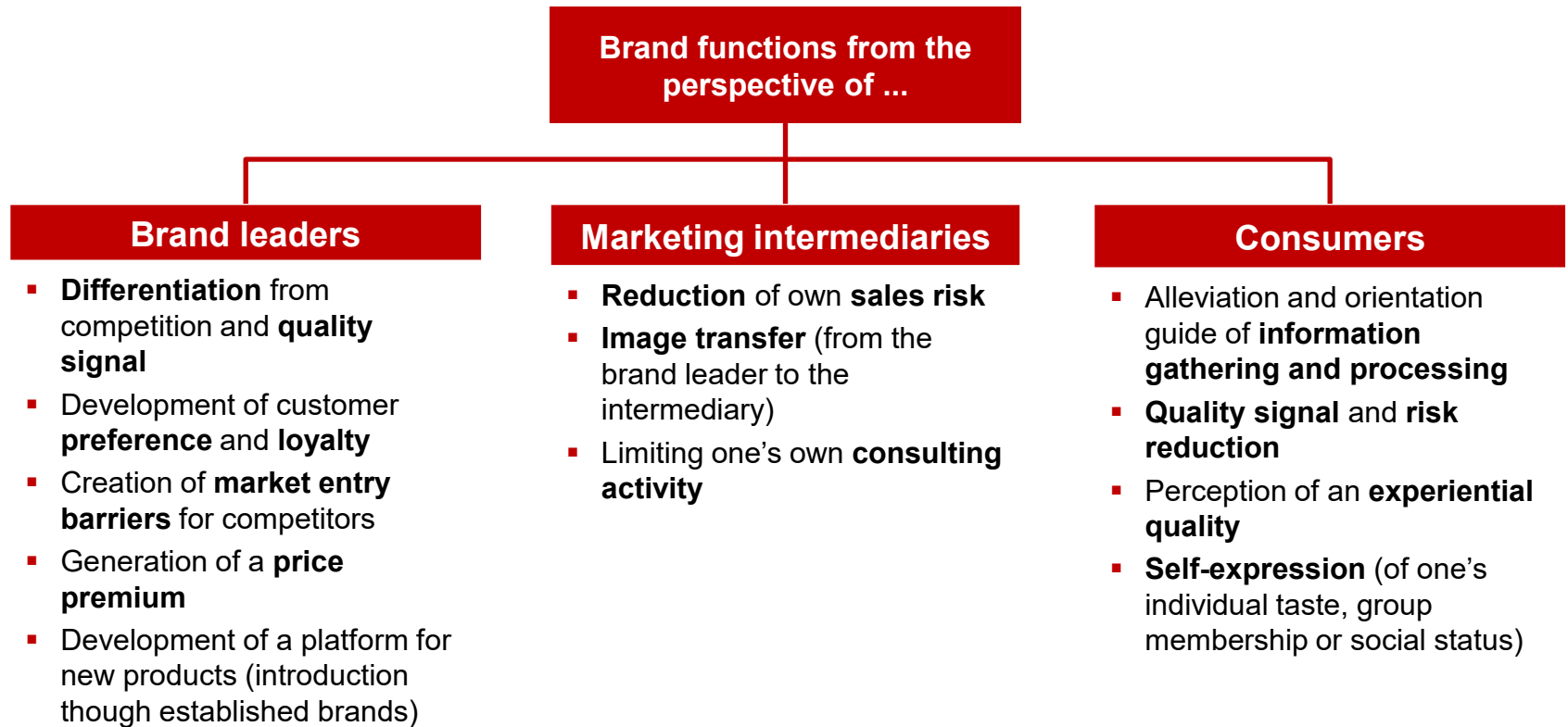
Burmann et al. 2017

Brand elements



Keller 2013; Sattler/Völckner 2013; Homburg 2017

Summary: Benefits of branding



Homburg 2017

Marketing advantages of strong brands

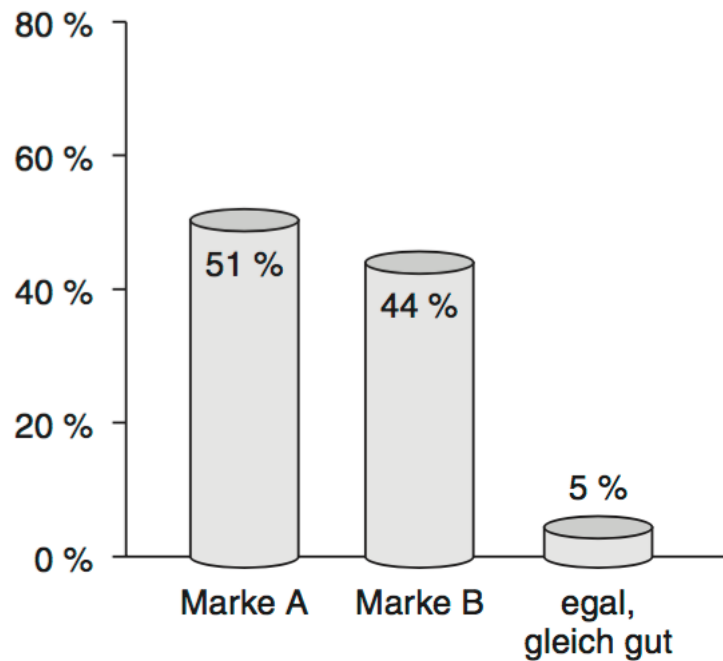
- Improved perceptions of product performance
- Greater loyalty
- Less vulnerability to competitive marketing actions
- Less vulnerability to marketing crises
- Larger margins
- More inelastic consumer response to price increases
- More elastic consumer response to price decreases
- Greater trade cooperation and support
- Increased marketing communication effectiveness
- Possible licensing opportunities
- Additional brand extension opportunities



The power of branding

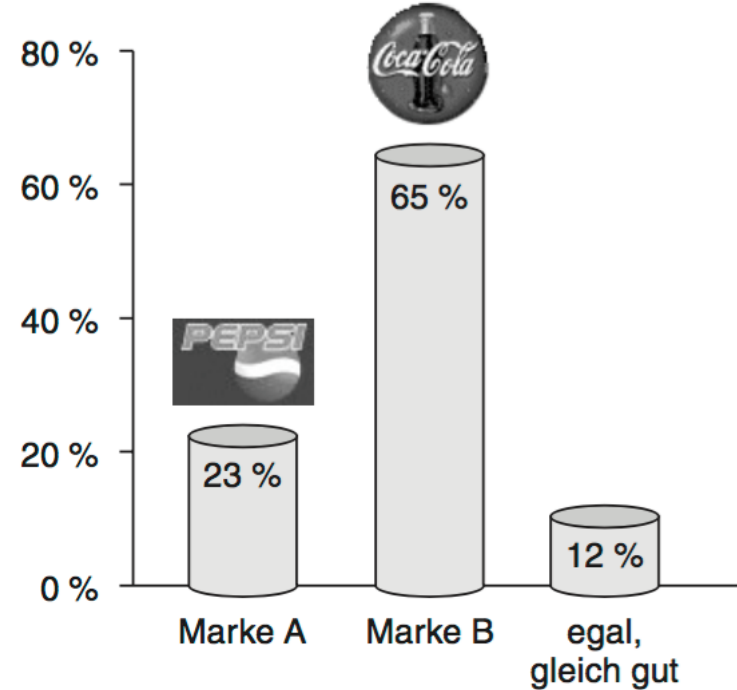
Brand is not visible

Blindtest



Brand is visible

Test mit Darbietung der Marken



Source: Meffert, H., Burmann, C., & Koers, M. (2002). Stellenwert und Gegenstand des Markenmanagement. In *Markenmanagement* (pp. 3-15). Gabler Verlag.

The power of branding

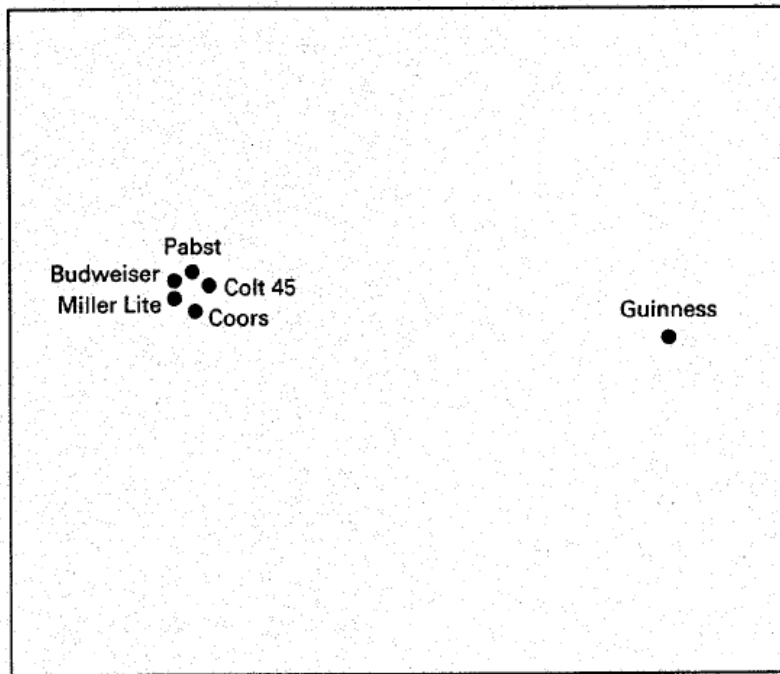


The image displays a promotional graphic for Pepsi Max, structured to look like a website header above a main advertisement. The header is a black bar containing the Pepsi logo on the left, followed by navigation links: [HOME](#), [TASTE CHALLENGE](#), [PRODUKTE](#), and [KONTAKT](#). To the right of these links are social media icons for Facebook, YouTube, and Instagram.

The main advertisement below the header features a dynamic splash of dark liquid against a black background. In the center of the splash are two cans: a black can of Pepsi Max on the left and a red can on the right. A large white 'VS' is positioned between the two cans. To the right of the cans, the text reads: **DEUTSCHLAND HAT ABGESTIMMT** in blue, followed by **58%** in large white font, and **ENTSCHEIDEN SICH FÜR PEPSI MAX** in white. At the bottom right is the Pepsi Max logo, consisting of the Pepsi globe and the word 'pepsi MAX'.

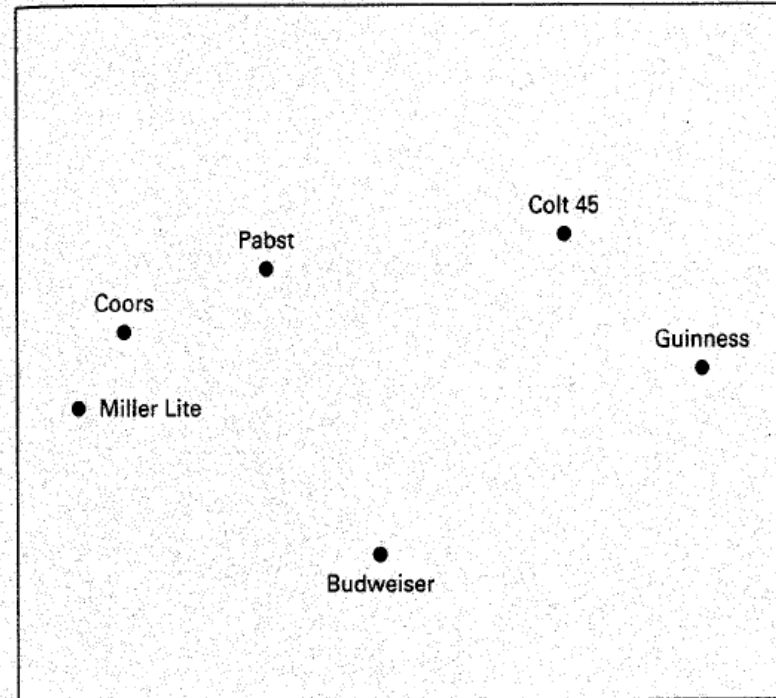
The power of branding

Evaluation without brand
information -
Blind test



B. Taste Perceptions of Six Beer Brands When the Drinker Does **Not** Know What He Is Drinking

Evaluation with brand
information -
Open test



A. Taste Perceptions of Six Beer Brands When the Drinker Knows What He Is Drinking

Keller (2007), pp. 50

Brand effects – Effects of a brand on the 4 P's

Product

- The brand name has a positive effect on consumer's product evaluations, e.g. perception of quality (see also halo effect)

Price

- Brand leaders can demand a larger price premium
- Brand leaders are relatively immune to price competition
- Households which are loyal to a brand show lower levels of price elasticity

Place

- Top firm products in an industry have a much higher chance of being accepted in the channel and to gain shelf space in supermarkets
- Stores are more likely to feature well-known brands if they are trying to convey a high quality image

Promotion

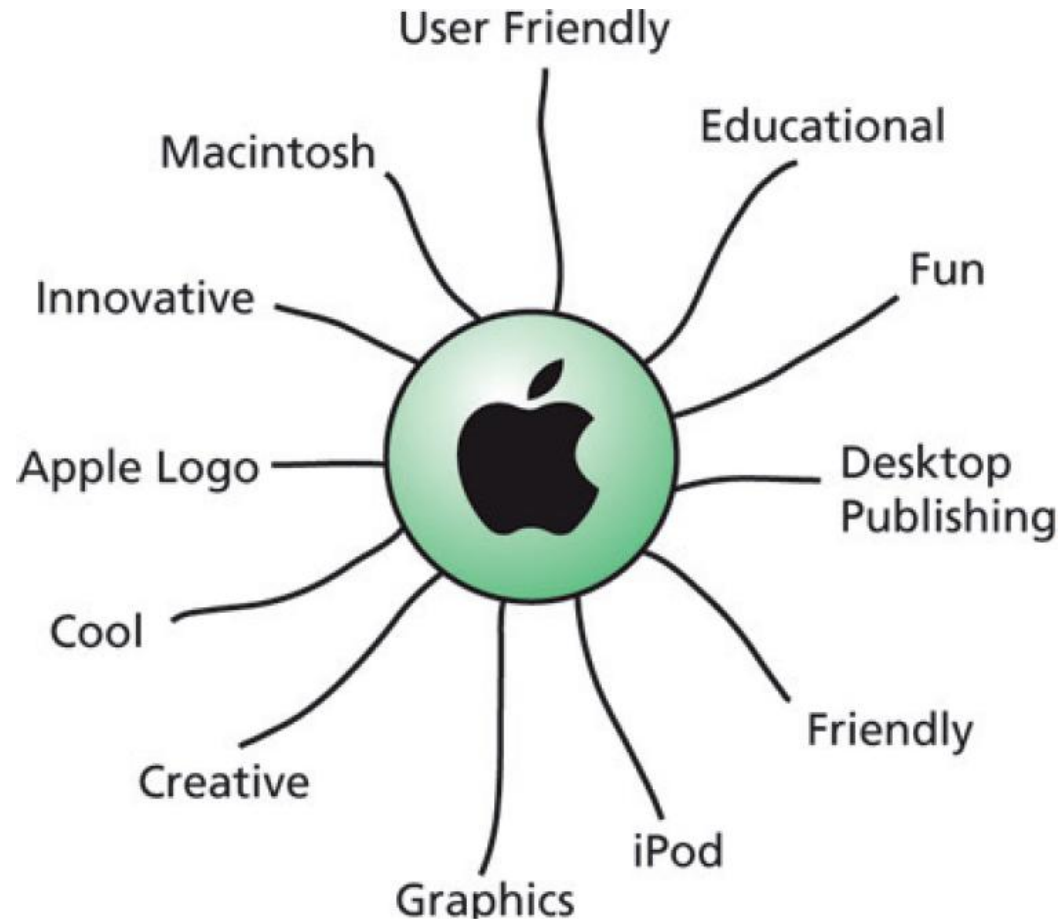
- "Halo-effects" related to the positive feelings toward a brand can positively bias the evaluation of advertising of the brand
- Consumers who have a high level of commitment to a brand are more likely to counter-argue with negative information

Brand effects on the 4 P's: Weitz, Wensley (2006): Handbook of Marketing, p. 152f.

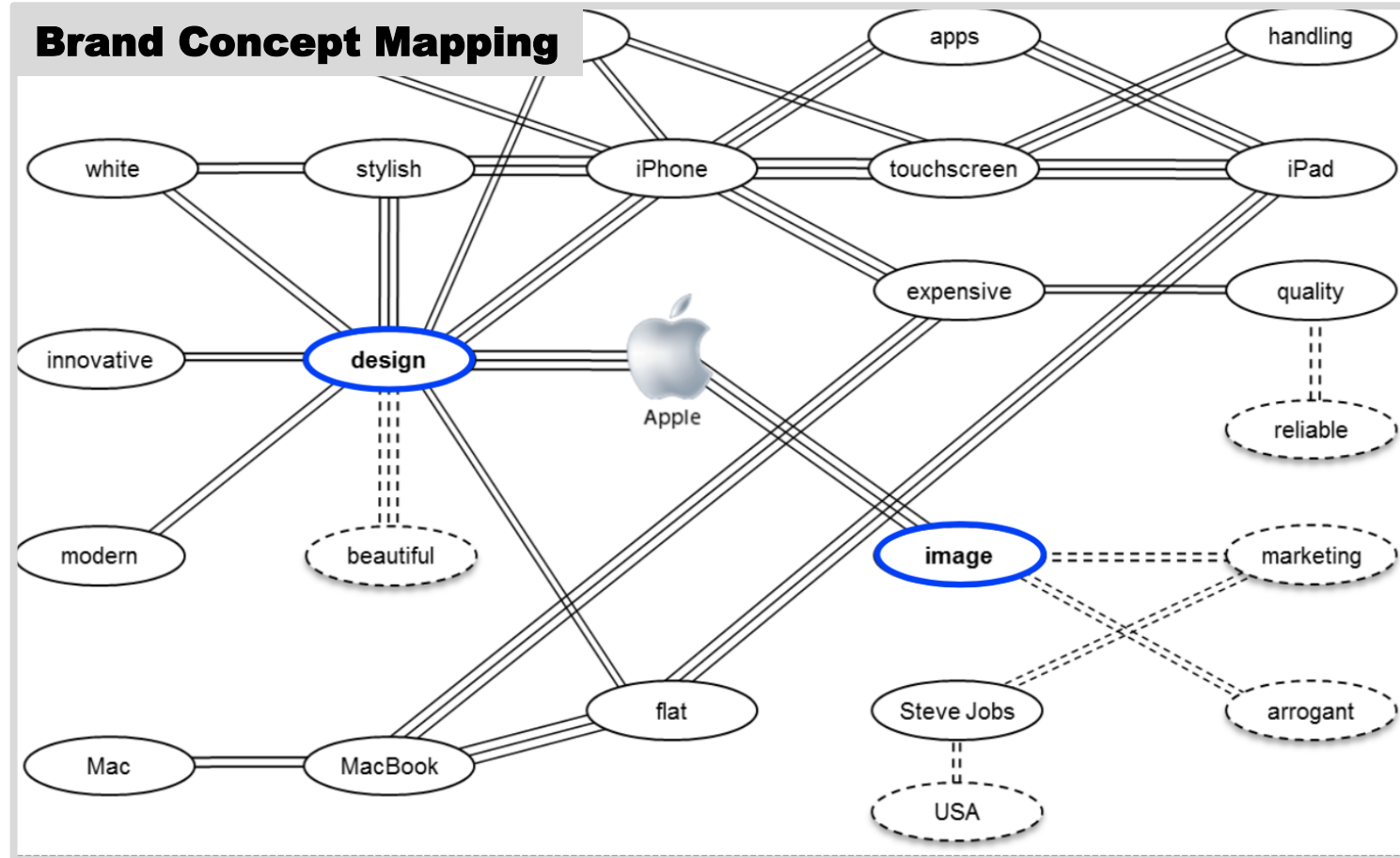
Brand knowledge and associative network memory model

- Key to create brand equity
 - Creates the differential effect that drives brand equity
- Marketers need an insightful way to represent how brand knowledge exists in consumer memory
- Views memory as a network of nodes and connecting links
 - Nodes - Represent stored information or concepts
 - Links - Represent the strength of association between the nodes
- Brand associations are informational nodes linked to the brand node in memory

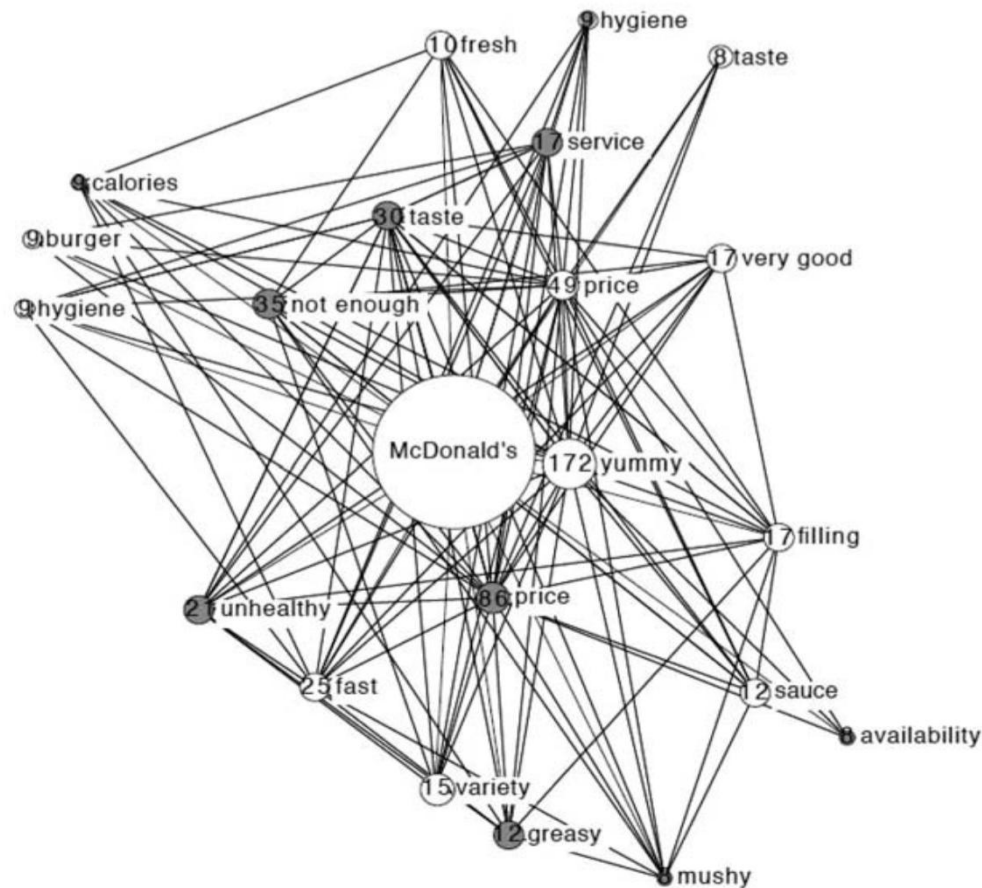
Possible associations for Apple



Brand concept map



Brand association network for McDonald's



Source: Gensler, S., Völckner, F., Egger, M., Fischbach, K., & Schoder, D. (2015). Listen to Your Customers: Insights into Brand Image Using Online Consumer-Generated Product Reviews. *International Journal of Electronic Commerce*, 20(1), 112-141.

Brand image dimensions

Strength of Brand Associations

- The more deeply a person thinks about product information and relates it to existing brand knowledge, the stronger is the resulting brand association

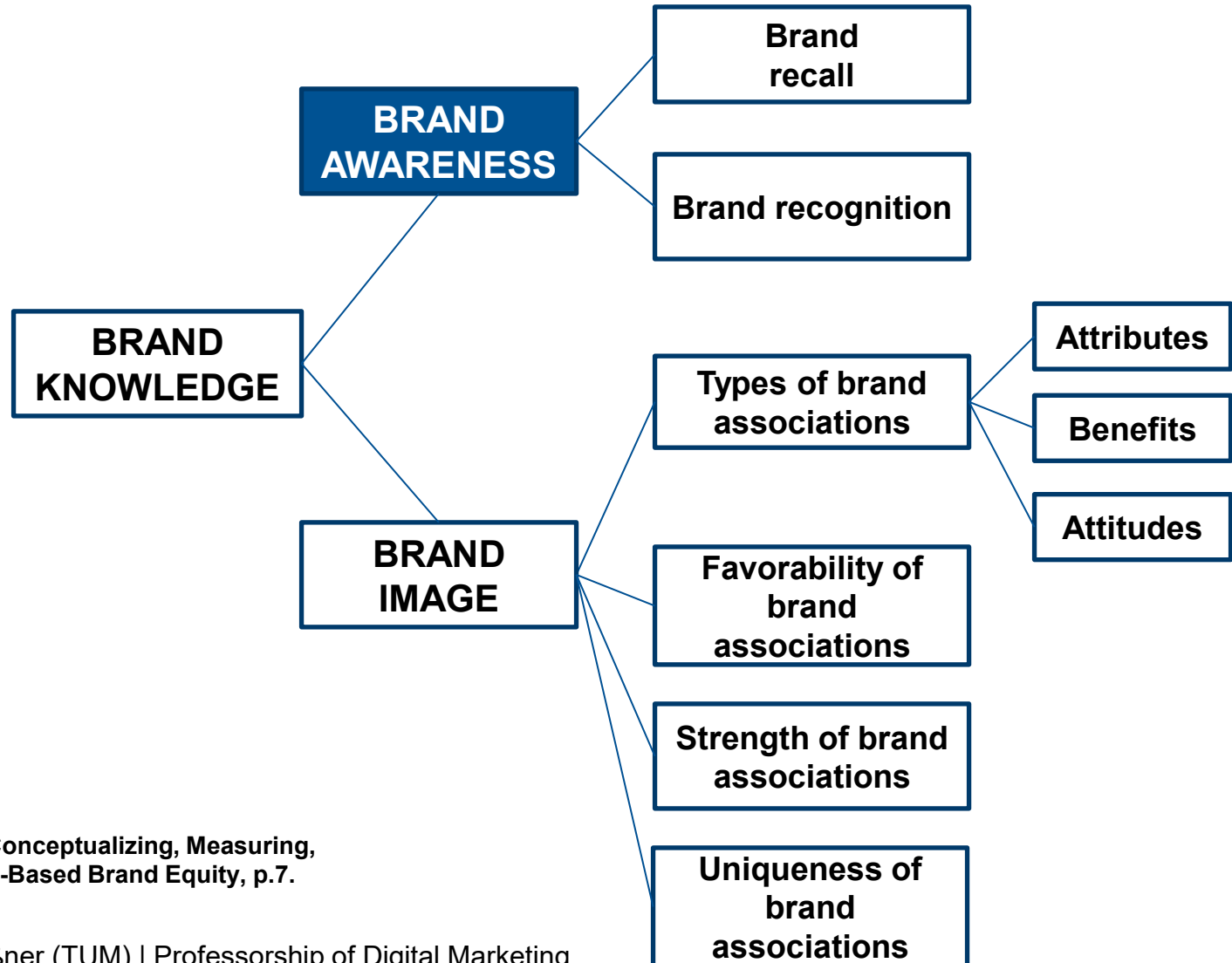
Favorability of Brand Associations

- Is higher when a brand possesses relevant attributes and benefits that satisfy consumer needs and wants

Uniqueness of Brand Associations

- “Unique selling proposition” of the product
- Provides brands with sustainable competitive advantage

Dimensions of brand knowledge

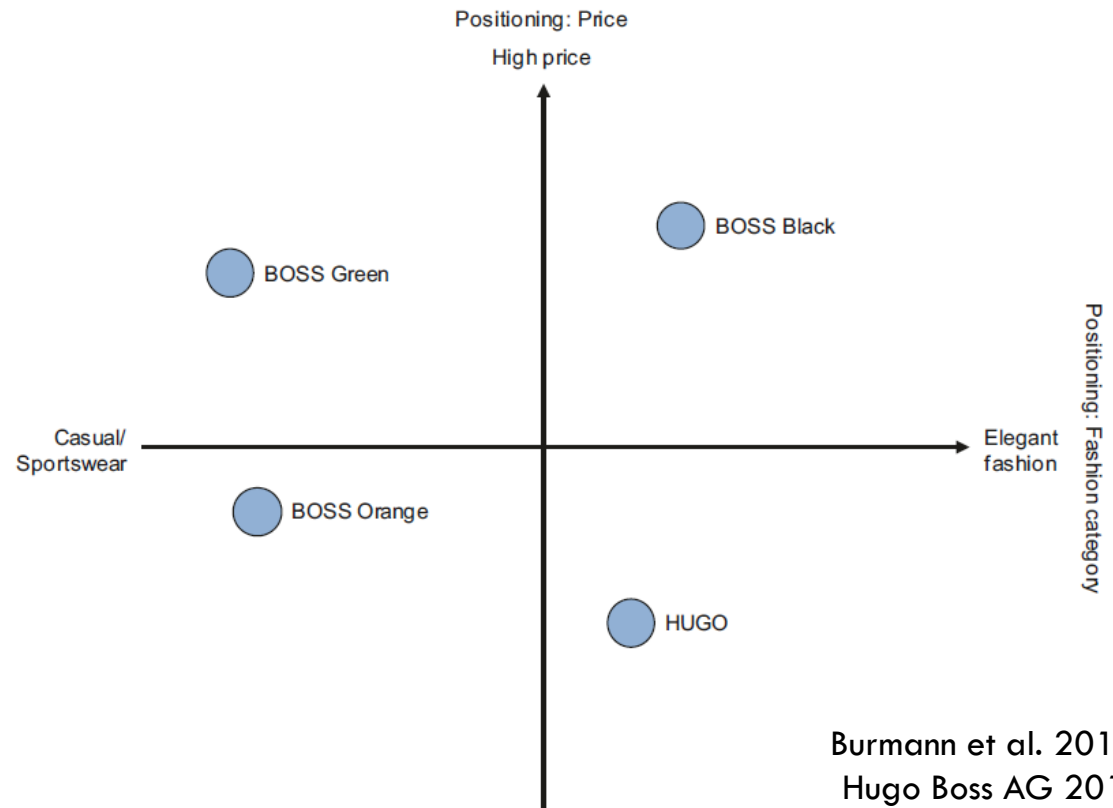


Keller, K.L. (1993): Conceptualizing, Measuring, Managing Customer-Based Brand Equity, p.7.

Identifying and establishing brand positioning – Basic concepts

Brand positioning

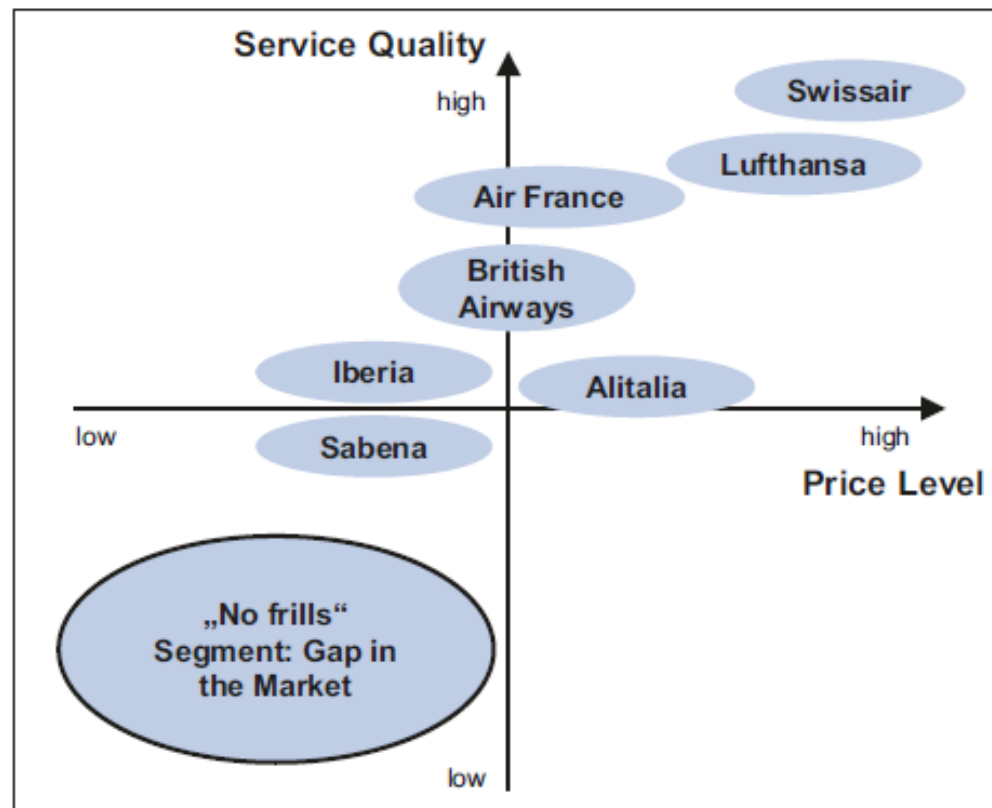
- Act of designing the company's offer and image so that it occupies a distinct and valued place in the target customers' minds
- Finding the proper "location" in the minds of consumers or market segment
- Allows consumers to think about a product or service in the "right" perspective



Burmann et al. 2017;
Hugo Boss AG 2012

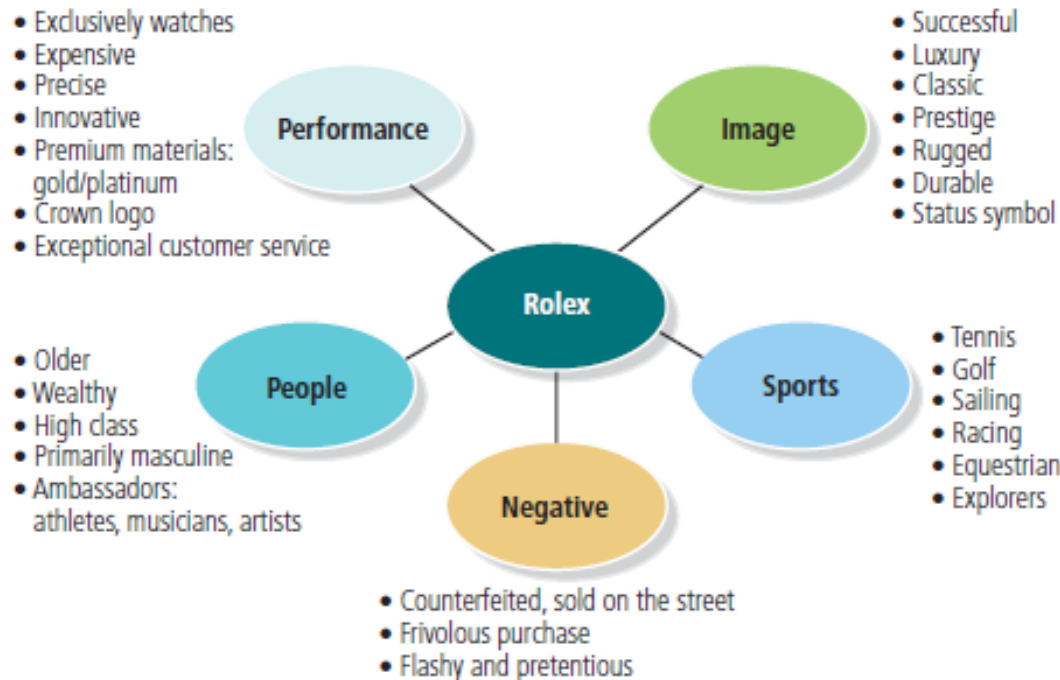
Points of parity and points of difference

The positioning of European passenger airline brands at the beginning of the 1980s



Burmam et al. 2017

Points of parity and points of difference – Rolex example



Brand Mantra:
"Classic Designs, Timeless Status"

Points-of-Parity	Points-of-Difference
• Swiss watchmaker • Durable • Fine materials • Quality craftsmanship • Accurate • Attractive	• Innovative products • Unique appearance - Big face; wide wrist band • Iconic crown logo • Exclusive, prestigious imagery • Rich history and heritage • Enduring premium value

Brand mantra

- Short, three-to five-word phrase that captures the irrefutable essence or spirit of the brand positioning.
- Provides **guidance** about:
 - What products to introduce under the brand.
 - What ad campaigns to run.
 - Where and how the brand should be sold.

	Emotional Modifier	Descriptive Modifier	Brand Function
Nike	Authentic	Athletic	Performance
Disney	Fun	Family	Entertainment



Disney's brand mantra of "fun family entertainment" gave marketers "guard rails" to help avoid brand-inconsistent actions.

What do the following ads have in common?



<https://www.youtube.com/watch?v=LqJruKf0wo>

https://www.youtube.com/watch?v=ILx6_XueX_o

<https://www.youtube.com/watch?v=ZDuxWGHA-Z4>

Research deep dive: Factors influencing luxury perceptions

Your task: Read the abstract and introduction of the following paper:

Jung, S., & Dubois, D. (2023). When and How Slow Motion Makes Products More Luxurious. *Journal of Marketing Research*, 60(6), 1177-1196.

Answer the following questions:

- Which effect do the authors investigate in their scientific paper?
- Why is it relevant to investigate the effect? (in other words: what is the take away for marketing practitioners)
- Which research approach (method) do the authors use?

Research deep dive: Factors influencing luxury perceptions

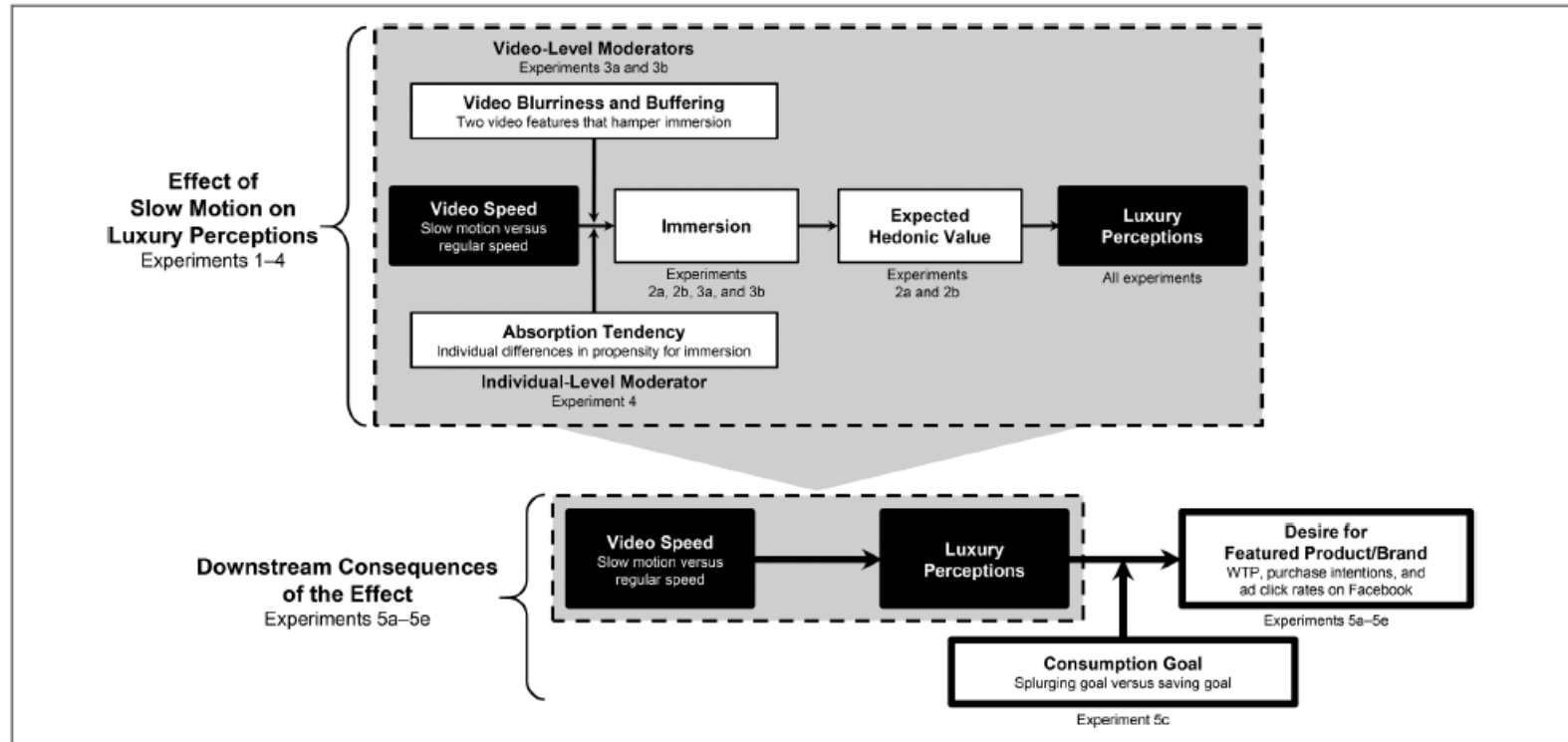


Figure 1. Conceptual Model.

Jung, S., & Dubois, D. (2023). When and How Slow Motion Makes Products More Luxurious. *Journal of Marketing Research*, 60(6), 1177-1196.

Research deep dive: Factors influencing luxury perceptions (More examples)

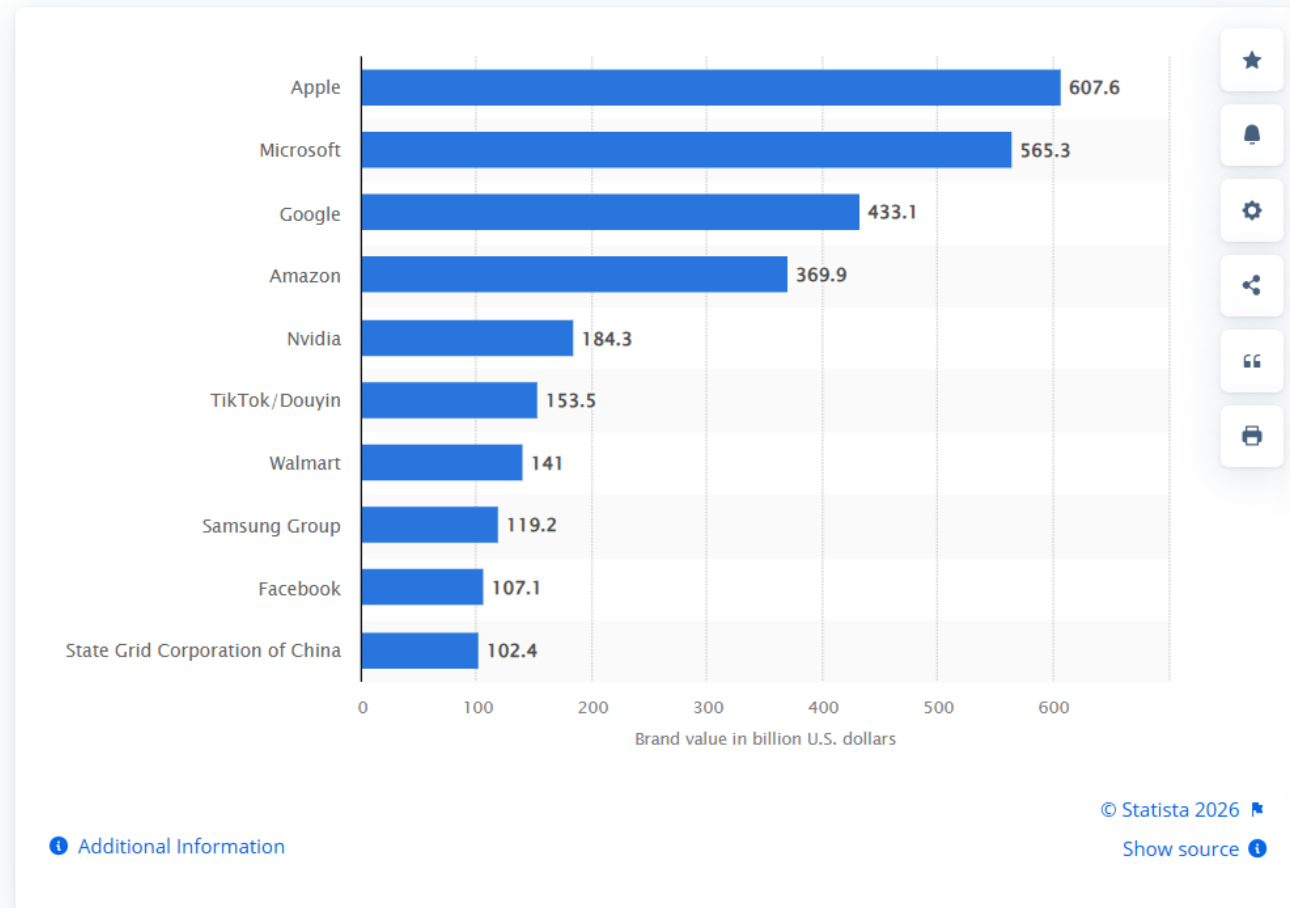
Table W1. Examples of Real Video Ads Using Video Speed Alteration.

Luxury Brand	Product Category	Video Speed Alteration	Link to Video Ad
OMEGA	Watch	Slow motion	www.youtube.com/watch?v=LqJruKf0wo
Moët & Chandon	Champagne	Slow motion	www.youtube.com/watch?v=xzEBwg_0_Dw www.youtube.com/watch?v=6x_EGrDook
Dom Pérignon	Champagne	Slow motion	www.instagram.com/p/BrOQi86D88U/?hl=en www.youtube.com/watch?v=VhBAfT-HHlo
Tom Ford	Fragrance	Slow motion	www.youtube.com/watch?v=roVhnRR541U
Dior	Fragrance	Slow motion	www.instagram.com/tv/BhYe05clmhl/?hl=en www.instagram.com/reel/CjAZK7CjSEo/?hl=en
Lancôme	Fragrance	Slow motion	www.youtube.com/watch?v=ZGL0PVaZ-ng
KENZO	Fragrance	Slow motion	www.instagram.com/reel/CfHHo89NI2e/?hl=en
Haigh's Chocolates	Chocolate	Slow motion	www.instagram.com/reel/CS8ulcpB-Ib/?hl=en
Vosges Haut-Chocolat	Chocolate	Slow motion	www.instagram.com/reel/CZuiHzgBf0Y/?hl=en
Fabelle	Chocolate	Slow motion	www.youtube.com/watch?v=orKkzMLtW_c
BMW	Car	Slow motion	www.youtube.com/watch?v=ZDuxWGHA-Z4
Mercedes Benz	Car	Slow motion	www.youtube.com/watch?v=vvVgYNk9J2c
Porsche	Car	Slow motion	www.instagram.com/reel/BdC4Bbmhjkx/?hl=en
Lexus	Car	Slow motion	www.instagram.com/reel/CSP20WjnQgV/?hl=en
Chanel	Jewelry	Slow motion	www.youtube.com/watch?v=ILx6_XueX_o
Vail Resorts	Resort	Time lapse	www.youtube.com/watch?v=jdyl7b4duNQ
KENZO	Fragrance	Time lapse	www.youtube.com/watch?v=EiEbZ70jqkY

Brand equity

Most valuable brands worldwide in 2026

(in billion U.S. dollars)



<https://www.statista.com/statistics/264875/brand-value-of-the-25-most-valuable-brands>

Brand equity

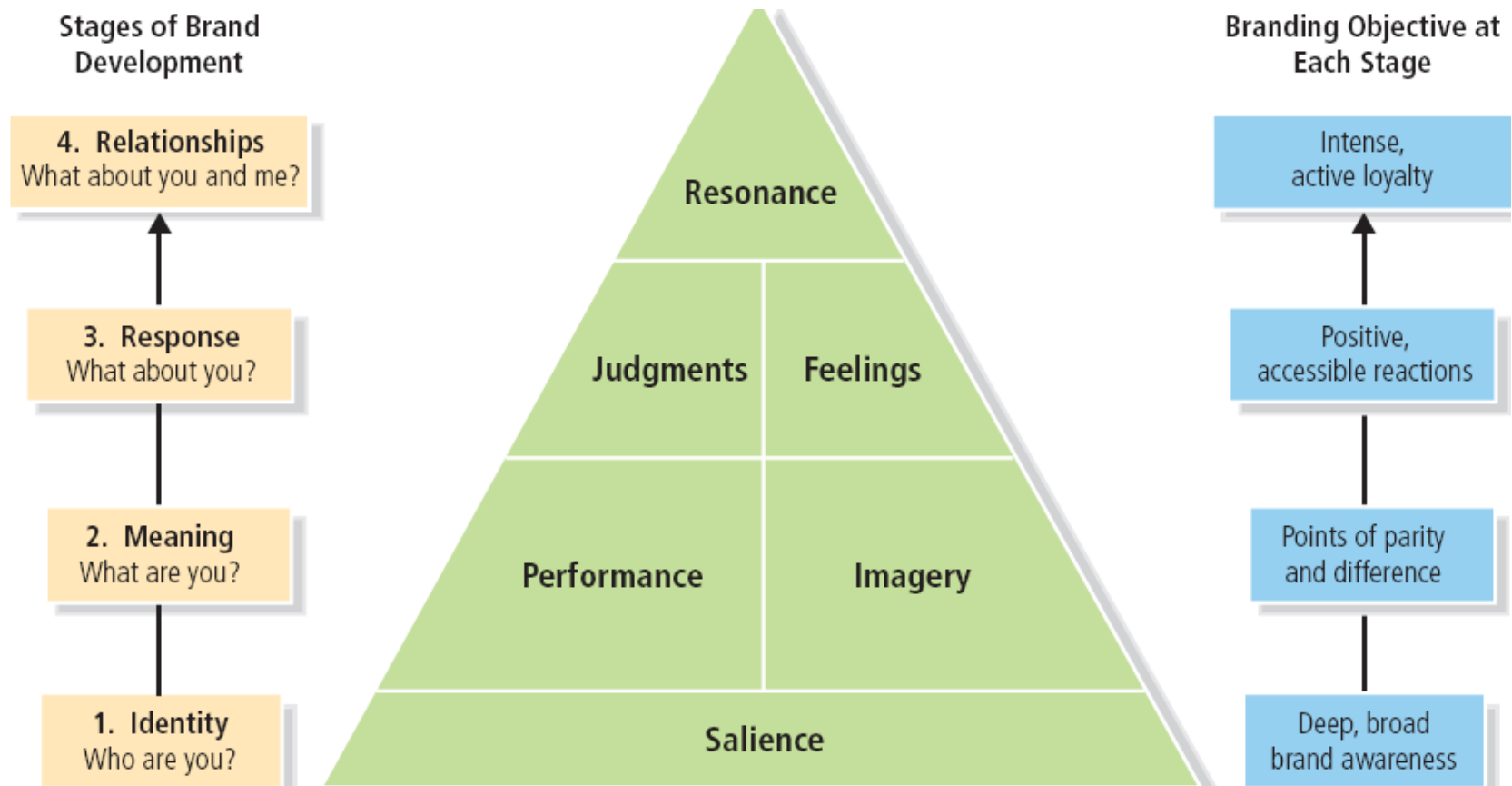
Principles of branding and brand equity

- Differences in outcomes arise from the “added value” endowed to a product
- The added value can be created for a brand in many different ways
- Brand equity provides a common denominator for interpreting marketing strategies and assessing the value of a brand
- There are many ways in which the value of a brand can be exploited to benefit the firm

Defining Customer Based Brand Equity (CBBE)

- Approaches brand equity from the perspective of the consumer
- Stresses that the power of a brand lies in what resides in the minds and hearts of customers
- Differential effect that brand knowledge has on consumer response to the marketing of that brand

Customer-based brand equity pyramid



Brand salience

Breadth and depth of awareness

- range of purchase and usage situations in which the brand element comes to mind
- how likely it is for a brand element to come to mind

Product Category Structure (or how product categories are organized in memory)

Strategic implications:

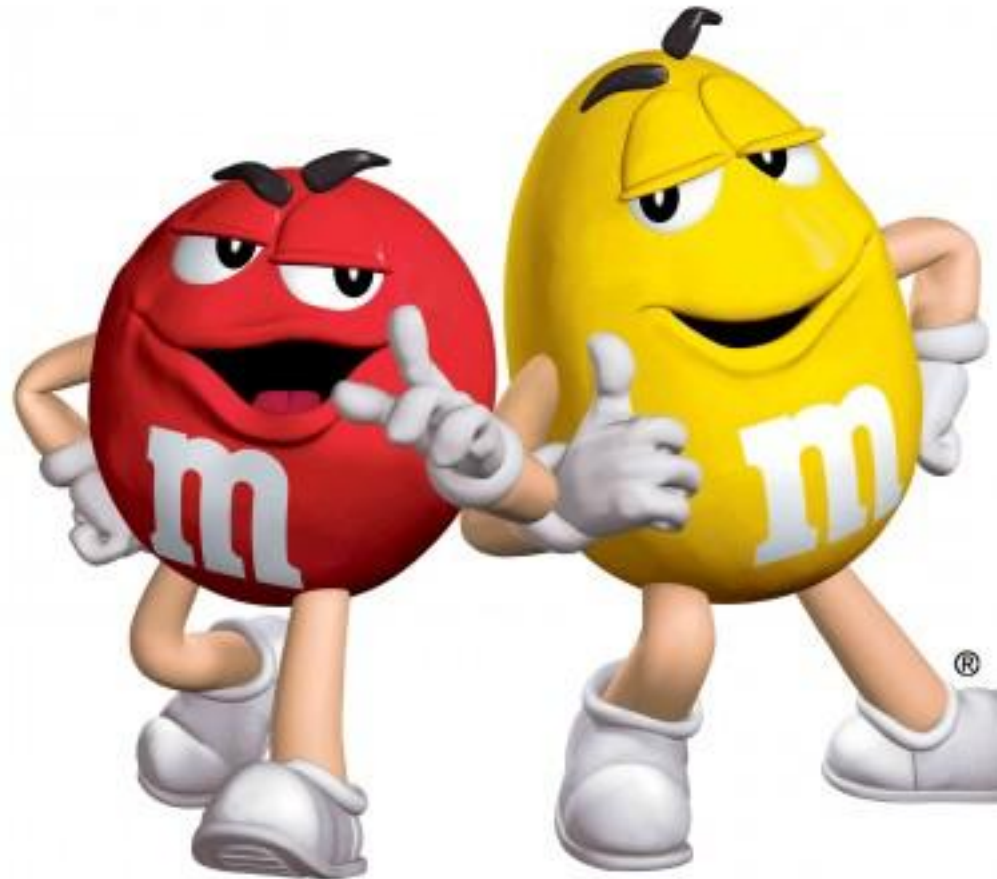
For many brands, the key question is not *whether* consumers can recall the brand but **where** they think of it, **when** they think of it, and **how easily** and **how often** they think of it.

Brand performance

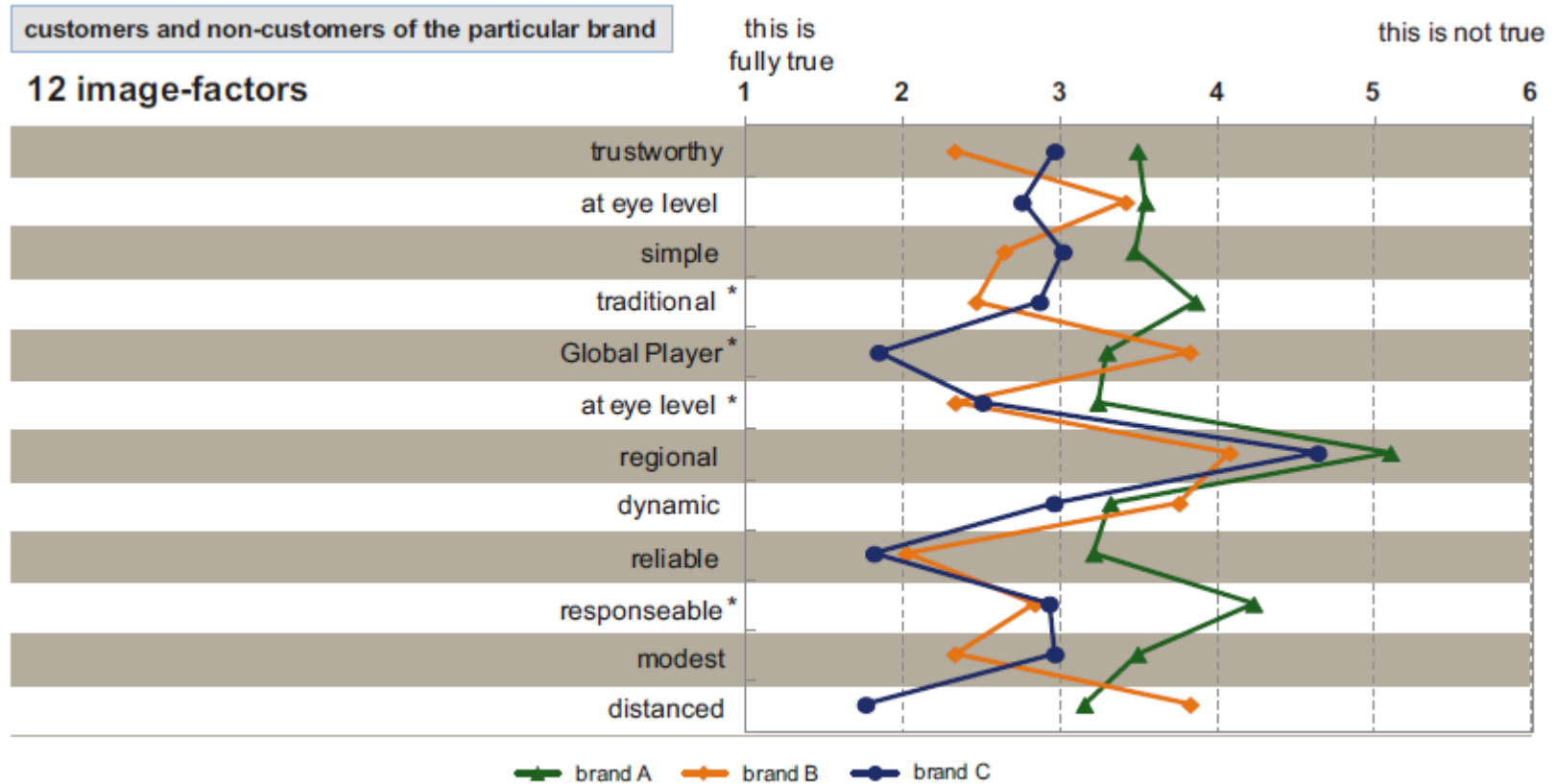
Describes how well the brand:

- Meets customers' more functional needs
- Rate on objective assessments of quality
- Satisfies utilitarian, aesthetic, and economic customer needs and wants in the product or service category

Brand imagery



Brand imagery



* = significant differences with 1%-niveau

Brand judgements vs. feelings

Brand judgements

- Quality
- Credibility
- Consideration
- Superiority

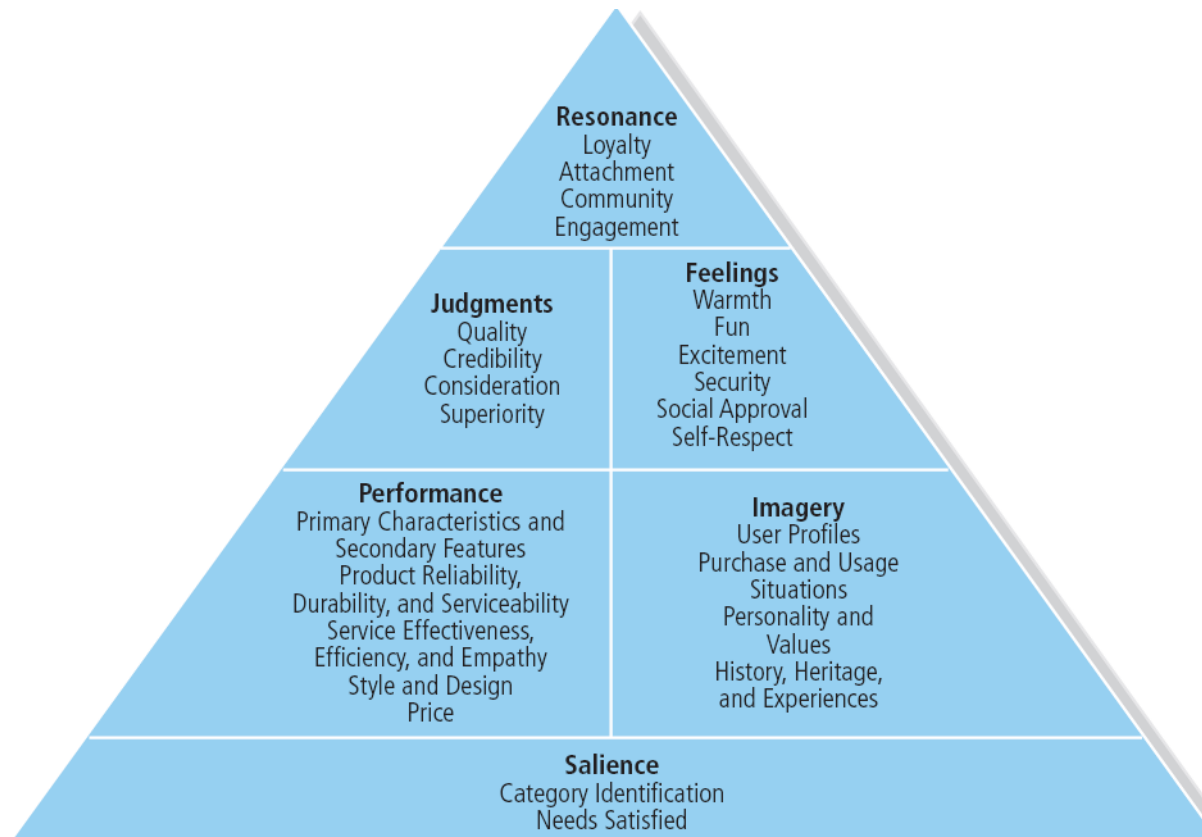
Brand resonance

- Behavioural loyalty
- Attitudinal attachment
- Sense of community
- Active engagement

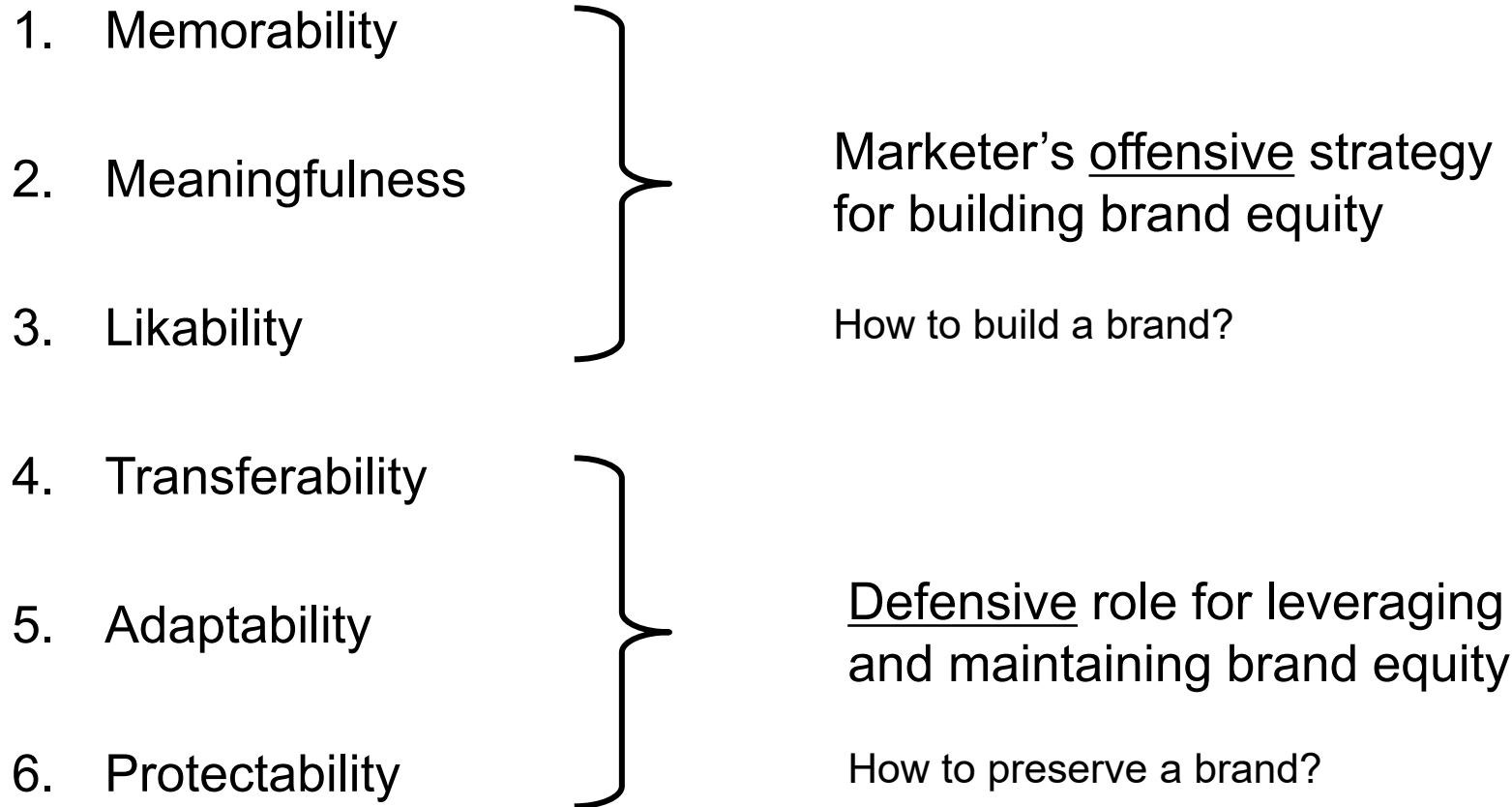
Brand feelings

- Customers' emotional responses and reactions to the brand
- Relate to the social currency evoked by the brand
- Feelings can be:
 - Experiential and immediate, increasing in level of intensity
 - Private and enduring, increasing in level of gravity

Summary: Subdimensions of brand building blocks



Build brand equity – Brand elements



Keller (2008), p. 140

Brand names

“What’s in a name? ... a rose by any other name would smell as sweet”

Shakespeare

“Shakespeare was wrong. A rose by any other name would not smell as sweet ... which is why the single most important decision in the marketing of perfume is the name.”

Al Ries & Jack Trout

Mazda Opa



Ford Probe



Brand logos

apple computer inc.



The original Apple logo featuring [Isaac Newton](#) under the fabled [apple tree](#).



The [rainbow](#) Apple logo, used from late 1976 to early 1998



The monochrome Apple logo, used from 1998 to late 2000, predominantly on hardware. Still appears on various products in various colors, such as [iLife](#) packaging.

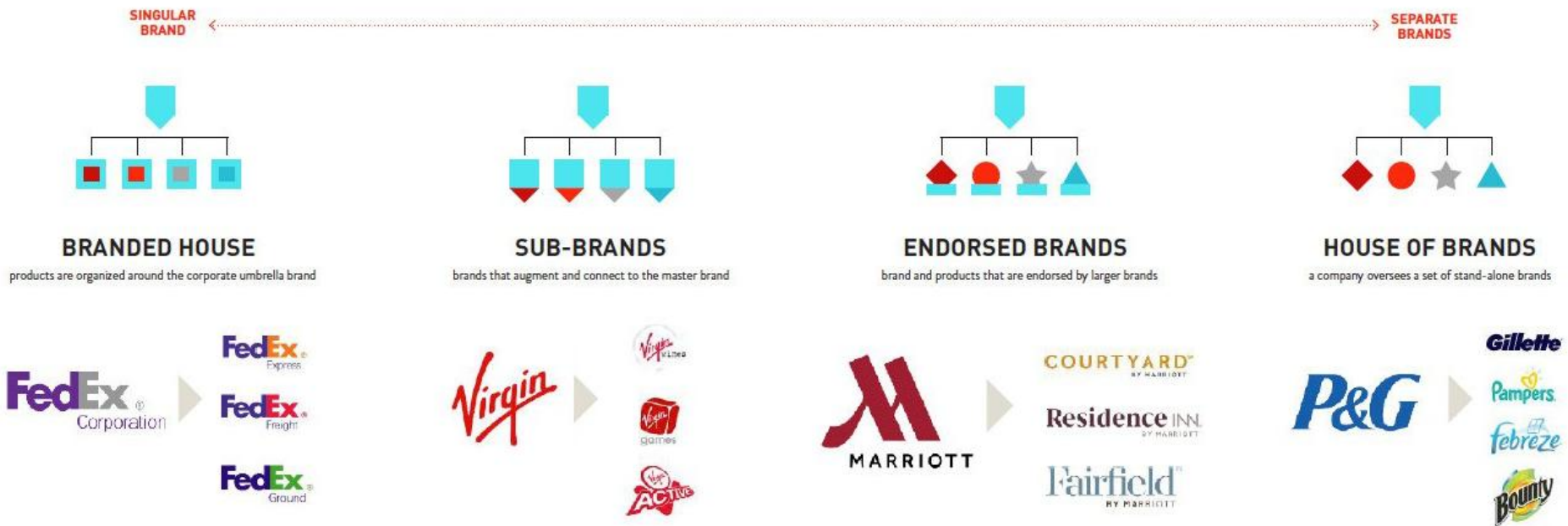


Stylized Apple logo, used 2001 to around 2007 on Apple software.

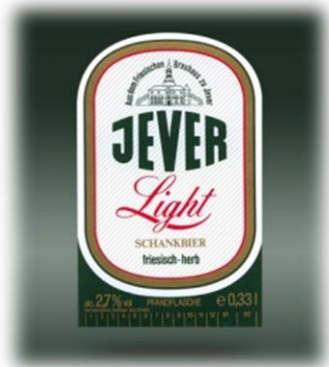


Logo used from 2007 to present.

Brand architecture



Brand architecture – Strategic options



		Product line	
		Existing	New
Brand	Existing	Line extension	Brand extension
	New	Multi-branding	Creation of new brands and lines



Brand alliances

Definition

... refers to the simultaneous, buyer-focused presentation of two or more brands with the aim of increasing the sales potential of each alliance partner by exploiting the existing brand values

Forms of brand alliances

- Co-Promotions
- Co-Branding
- Ingredient Branding

Brand-specific goals of brand alliances

- Create competitive advantages
- Expansion into new markets and creation of innovative product concepts
- Image change or improvement
- Brand (re-)positioning

Co-promotion example

Lidl lohnt sich.
ALDI
anderen
sind teurer.

JACOBS
KRÖNUNG

-45%
3.29* 5.99

LIDL
Lidl lohnt sich

Jacobs
Krönung
Kaffee
Versch. Sorten,
500-g-Packung
1 kg = 6.58

Co-branding

When two or more existing brands are combined into a joint product or are marketed together in some fashion.

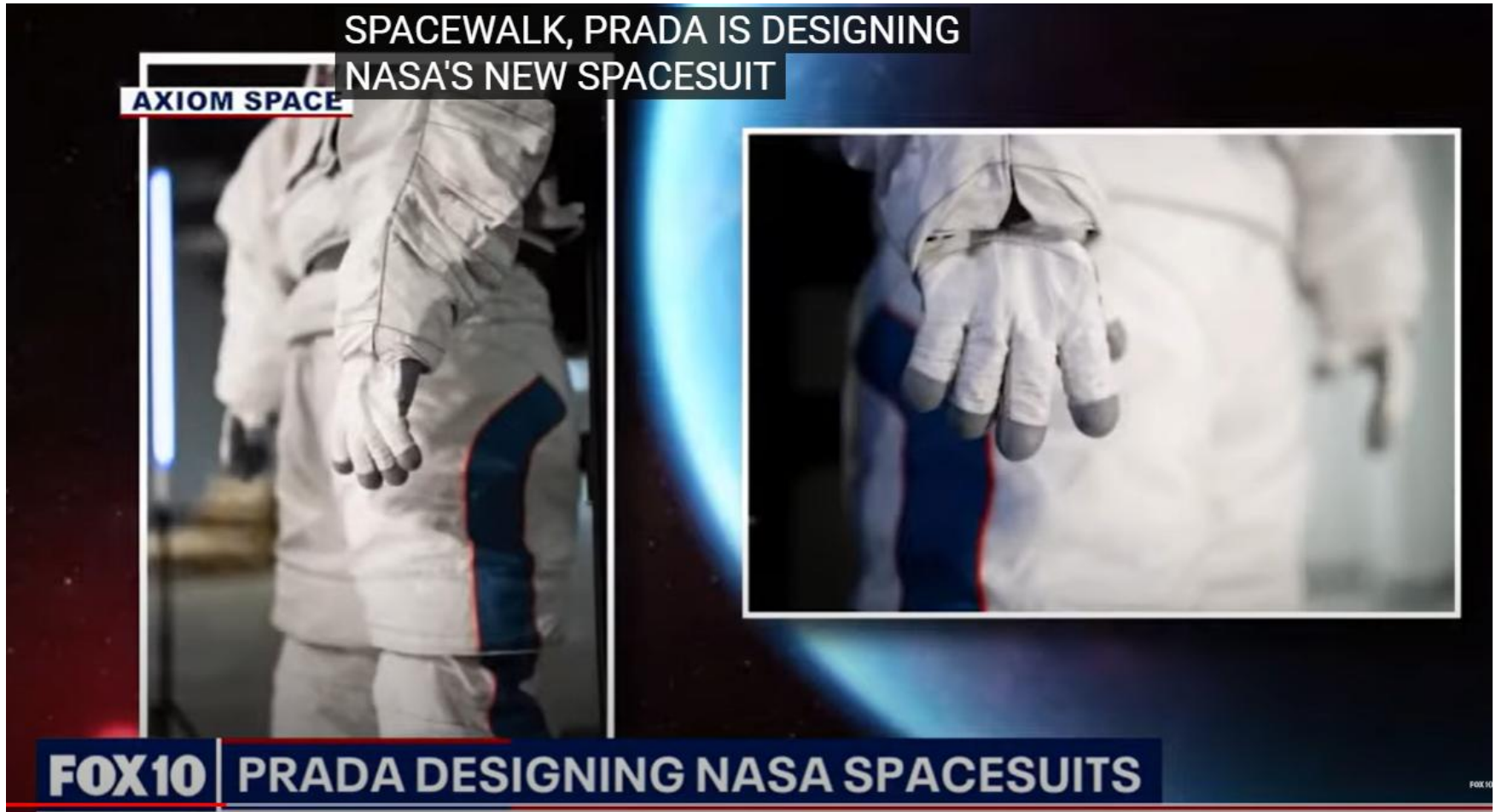


Ingredient branding

- Creates brand equity for materials, components, or parts that are contained within other branded products
- Branded ingredients are often a signal of quality
- Uniformity and predictability of ingredient brands can reduce risks and reassure consumers



Case: Prada designing Nasa spacesuits



https://www.youtube.com/watch?v=Raq6CE0ME_U

Licensing

- Creates contractual arrangements whereby firms can use names, logos, and characters of other brands to market their own brands for some fixed fee
- Can also provide legal protection for trademarks
- Risk - A trademark may become overexposed if marketers adopt a saturation policy



The Walt Disney Company, which includes Lucasfilm, Marvel, ABC, ESPN, Disney-Pixar and Walt Disney Studios, continues to dominate the brand licensing sector in the No. 1 position, with \$56.6 billion in licensed merchandise retail sales in 2016, an increase of 8 percent from the previous year. Performance was driven by another year of blockbuster releases including *Rogue One: A Star Wars Story*, *Finding Dory*, *Captain America: Civil War*, *The Jungle Book*, *Zootopia*, and *Moana*.

Advantages of trademark licensing



1.	Increase brand loyalty
2.	Increase brand awareness
3.	Quickly build up product offerings under the brand name
4.	Strengthen the brand image
5.	Use additional distribution channels
6.	Earn licensing fees
7.	Increase communication pressure by using the licensing partner's budget

Celebrity endorsement

Rationale:

A famous person can:

- Draw attention to a brand
- Shape brand perceptions, by virtue of consumers perceptions of the famous person

Celebrity endorsers should have:

- A high level of visibility
- A rich set of potentially useful associations, judgments, and feelings



Celebrity endorsement

Rationale:

A famous person can:

- Draw attention to a brand
- Shape brand perceptions, by virtue of consumers perceptions of the famous person

Celebrity endorsers should have:

- A high level of visibility
- A rich set of potentially useful associations, judgments, and feelings



Trademark piracy

... is the business with counterfeit products, which are manufactured with the aim of being as similar as possible to an original product to increase profit or benefit from other brand

Original



Fake



Contact details

Martin Meißner
Professor of Digital Marketing

Technical University of Munich
TUM School of Management
Bildungscampus 9
74076 Heilbronn
Tel. +49 7131 2641 8840

office.cdt@mgt.tum.de

www.wi.tum.de